Brokerage Risk Assessment

Brokerage Name: .....
Compliance Officer: .....
Date Completed: .....
Completed By: .....

This document is intended to assist brokerages in preparing a brokerage risk assessment using the six-step methodology described in FINTRAC's *Risk Assessment Guide*. If at any time you need additional space to explain your answer, or to document additional information, add the additional information on a separate page and attach it to this risk assessment.

Step 1: Identify your Inherent Risks[1] of Money Laundering and Terrorist Financing

Respond to the questions in Step 1, Section A, paragraph i-iv below. For now, ignore the "Risk Score" column in each table – this will be completed at the end of Step 1 after you've considered all of your inherent risks.

A. Identify and score your business-based risks

i. Identify your products, services and delivery channels

Identify all products and services your brokerage provides, and the manner in which these products or services are provided to your clients, by checking the relevant tick boxes below. Add additional rows if you provide other brokerage products or services with respect to the purchase or sale of real estate. For example, if you provide brokerage services for new real estate developments, new condos or assignment deals, consider listing them as a separate product/service below.

Product/Service	Delivery Channels (How products/services are provided to your clients). Select all that apply.	Risk Score (Low/High) and Rationale
☐ Brokerage services with respect to residential property	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Brokerage services with respect to residential property for income purposes	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	

[1] Inherent risk is the risk of an event or circumstance that exists before you implement controls or mitigation measures. In contrast, residual risk is the level of risk that remains after you have implemented controls or mitigation measures.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

Product/Service	Delivery Channels (How products/services are provided to your clients). Select all that apply.	Risk Score (Low/High) and Rationale
☐ Brokerage services with respect to commercial property	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Brokerage services with respect to farmland	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Brokerage services with respect to land for commercial use	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Brokerage services with respect to land for residential use	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Brokerage services with respect to cottages and other recreational property	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

Product/Service	Delivery Channels (How products/services are provided to your clients). Select all that apply.	Risk Score (Low/High) and Rationale
☐ Other (if applicable), explain: _____ _____ _____ _____ _____	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Other (if applicable), explain: _____ _____ _____ _____ _____	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	
☐ Other (if applicable), explain: _____ _____ _____ _____ _____	☐ Face-to-face interaction ☐ Phone ☐ Email ☐ Social media ☐ SMS/text ☐ Website ☐ Fax ☐ Other, explain _____ _____	

ii. Geographical locations in which your business operates

Record the office address for each office at your brokerage. Add additional rows if necessary.

	Address
Office Location #1:	
Office Location #2:	
Office Location #3:	

Answer the following questions for each office you have identified above. Add additional rows if necessary.

	Geographic Considerations	Risk Score (Low/High) and Rationale
Office Location #1	Is office close[2] to an international border: ☐ yes ☐ no Is office close to an international airport: ☐ yes ☐ no Is office located in a known high crime area[3]: ☐ yes ☐ no Office in: ☐ rural area ☐ urban area (<10,000 population) ☐ urban area (≥ 10,000, but less than <100,000) ☐ urban area (≥ 100,000)	

[2] What is "close" will depend on what the brokerage considers reasonable in their area. It is suggested that brokerage consider an office that is 10 km from an international border or 5 km from an international airport as being "close", although brokerages are free to use their own metrics (if a different metric is used it is suggested that this be documented and explained in this assessment).

[3] Meaning there is information on a government website indicating that the area is high-crime. See *FINTRAC's Risk Assessment Guide* for examples.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

	Geographic Considerations	Risk Score (Low/High) and Rationale
Office Location #2	Is office close to an international border: ☐ yes ☐ no Is office close to an international airport: ☐ yes ☐ no Is office located in a known high crime area: ☐ yes ☐ no Office in: ☐ rural area ☐ urban area (<10,000 population) ☐ urban area (≥ 10,000, but less than <100,000) ☐ urban area (≥ 100,000)	
Office Location #3	Is office close to an international border: ☐ yes ☐ no Is office close to an international airport: ☐ yes ☐ no Is office located in a known high crime area: ☐ yes ☐ no Office in: ☐ rural area ☐ urban area (<10,000 population) ☐ urban area (≥ 10,000, but less than <100,000) ☐ urban area (≥ 100,000)	

iii. The impact of new developments and technologies that affect your operations

Answer the following questions regarding: (a) the technology in use; and (b) any new developments, at your brokerage.

Question	Answer	Risk Score (Low/High) and Rationale
Does your brokerage use advanced technology to accept funds with respect to purchase or sale transactions? For example: • E-wallets in fiat currencies (CAD, USD, etc.) • E-wallets in virtual currencies • pre-paid cards • Internet payment services • mobile payments • money transfers between individuals over mobile devices and the Internet • Deal processing technologies[4]	☐ no ☐ yes, explain which of these technologies you use and for what purpose:	
Does your brokerage directly accept funds from buyers with respect to purchase or sale transactions? For example: • Buyer arrange for the funds to be wired to the brokerage's trust account without involving the buyer's sales representative. • Buyer obtains a bank draft and then instructs a bank to deposit it into the brokerage's trust account without involving the buyer's sales representative.	☐ no ☐ yes, explain which of these technologies you use and for what purpose:	These situations are higher risk as buyer sales representatives are not involved.

[4] For example, brokerWOLF, BrokerBay, NexOne, etc.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

Question	Answer	Risk Score (Low/High) and Rationale
Indicate which of the following non-face-to-face communication methods and software applications your brokerage uses with clients with respect to purchase or sale transactions:: ☐ phone ☐ email ☐ chat applications ☐ document signing on a cloud server such as DocuSign ☐ specialized client identification software (e.g. FINTRACKER, Really Trusted) ☐ other forms of electronic information exchange, explain:		
Has your brokerage restructured, acquired another business or brokerage, or otherwise changed its business model since you last conducted a risk assessment?	☐ no ☐ yes, explain:	

iv. Other relevant factors

Answer the following questions regarding other considerations that could impact your brokerage's risk of money laundering and terrorist financing.

Question	Answer	Risk Score (Low/High) and Rationale
Briefly explain your business model:		
How many employees does your brokerage have:		
How many sales representatives does your brokerage have:		
What is your brokerage size (in terms of assets and revenue):		
Are you aware of any Canadian economic sanctions that specifically impact your business?[5]	☐ no ☐ yes, explain:	
Has the real estate regulator in your province/territory issued any guidance that impacts your clients from a money laundering/terrorist financing perspective?	☐ no ☐ yes, explain:	

[5] For example, perhaps you have clients on a Canadian Government sanctions list and this impacts or limits the services you provide to the clients.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

v. Score your business-based risks

Assign a risk of money-laundering and terrorist financing score by going back to each of the tables you completed in Step 1, Section A. You can use any type of scoring system you like but it is suggested you use a "Low"/"Medium"/"High" system. For each element in each table, write a brief explanation as to why you selected a particular score. Consult FINTRAC's *Risk Assessment Guide*, Canada's national risk assessment, FATF guidance, Transparency International guidance on the real estate sector as you consider what scores to assign.

B. Identify and score client and relationship based risks

Respond to the questions in Step 1, Section B, paragraph i-v below. In order to answer you should have a good understanding of your brokerage's clients.

i. Identify products, services and delivery channels clients are using

Question/ Answer
Do your clients provide funds using any of the following methods, which offer the person providing the funds a high degree of anonymity? Check all that apply: ☐ Bank draft ☐ Electronic funds transfers ☐ Virtual currency
Approximately what percentage of your sales representatives' client interactions are conducted via non-face-to-face methods: ☐ 100% ☐ ≥ 75% ☐ ≥ 50% ☐ ≥ 25% ☐ > 0% ☐ 0%

ii. Identify the geography of your clients

Question	Answer
Do you have any clients that live in Canada but are from out-of-province?	☐ no ☐ yes, explain:
Do you have any clients that do not live in Canada?	☐ no ☐ yes, explain:
Do you have any clients subject to a Ministerial Directive?	☐ no ☐ yes, explain:
Do you have any clients with a material connection (e.g. residency) to a country considered high risk by the FATF?	☐ no ☐ yes, explain:

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

iii. Identify the impact of new developments and technologies that affect your clients

Question	Answer
Has your brokerage adopted any new client-facing technology that increases their anonymity when dealing with your brokerage since you last conducted a risk assessment?	☐ no ☐ yes, explain:

iv. Client characteristics and patterns of activity or transactions

Answer the following questions regarding common, higher risk, client characteristics and patterns. Add additional rows if you have identified other common, higher risk characteristics and patterns.

Question	Answer
Have you filed a suspicious transaction report on any of your clients since you last conducted a risk assessment?	☐ no ☐ yes, explain:
Have you filed a listed person or entity property report on any of your clients since you last conducted a risk assessment?	☐ no ☐ yes, explain:
Are any of your clients domestic PEPs?	☐ no ☐ yes, explain:
Are any of your clients foreign PEPs or HIOs?	☐ no ☐ yes, explain:
Do any of your clients appear to be a shell company (a corporation without active business operations or significant assets) or numbered companies buying residential real estate?	☐ no ☐ yes, explain:

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

v. Score your relationship-based risks

In light of your answers above, group your clients into clusters based on common characteristics in the Cluster/Mitigation Table below. Assign a risk of money-laundering and terrorist financing score for each cluster[6]. You can use any type of scoring system you like but it is suggested you use a "Low"/"Medium"/"High" system. For each row, write a brief explanation as to why you selected a particular risk score. Some possible clusters, and suggested risk scores, are included below. Add additional rows if necessary. At the end of this step estimate how many high risk clients you have, and document your answer below. For now, ignore the "Risk Score" column – this will be completed in Step 3.

Cluster/Mitigation Table

#	Business relationship Cluster	Risk Score (Low/High)	Rationale	Risk Mitigation Measure
1	Clients subject to a Ministerial Directive	High-risk	FINTRAC guidance requires that these groups be treated as high risk.	
2	Clients for which a listed person or entity property report has been filed			
3	Foreign PEPs and HIOs			
4	Clients for which a suspicious transaction report has been filed	High-risk or medium-risk (select one)	FINTRAC recommends that these clients should be treated as higher risk.	
5	Domestic PEPs	High-risk or medium-risk (select one)	A domestic PEP may have access to funds that were obtained as a result of abusing their power or position.	
6	Clients with a material connection (e.g. residency) to a country considered high risk by the FATF? Name the country:	High-risk or medium-risk (select one)	Clients with a connection to a high-risk country are riskier.	

[6] Note that in assigning risks to a particular cluster you should consider the actual risk that sales representatives are assigning to clients in their day-to-day interactions (Section C of the Information Record, if using CREA's template Information Records and Section 3.1.2.11 of CREA's template compliance program). You may find that sales representatives are assigning a risk higher or lower than you wish to assign to a particular cluster. If that is the case, consider educating your sales representatives on the risk associated when dealing with clients that fall into the cluster. It is the broker (and their compliance officer) who is ultimately responsible for determining the level of risk associated with a particular client and client cluster.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

#	Business relationship Cluster	Risk Score (Low/High)	Rationale	Risk Mitigation Measure
7	Out of province clients			
8	Individual Clients purchasing/selling residential property who don't fall into #1-7, above.			
9	Individual Clients purchasing/selling residential income property who don't fall into #1-7, above.			
10	Individual Clients purchasing/selling recreational property who don't fall into #1-7, above.			
11	Individual Clients purchasing/selling farmland who don't fall into #1-7, above.			
12	Individual Clients purchasing/selling commercial property who don't fall into #1-7, above.			
13	Individual Clients purchasing/selling land for commercial use who don't fall into #1-7, above			

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

#	Business relationship Cluster	Risk Score (Low/High)	Rationale	Risk Mitigation Measure
14	Corporate/Entity Clients purchasing/selling residential property who don't fall into #1-7, above.			
15	Corporate/Entity purchasing/selling residential income property who don't fall into #1-7, above.			
16	Corporate/Entity Clients purchasing/selling recreational property who don't fall into #1-7, above.			
17	Corporate/Entity Clients purchasing/selling farmland who don't fall into #1-7, above.			
18	Corporate/Entity Clients purchasing/selling commercial property who don't fall into #1-7, above.			
19	Corporate/Entity Clients purchasing/selling land for commercial use who don't fall into #1-7, above.			

Estimate number of high risk clients from all clusters: _____

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

Step 2: Set your Risk Tolerance

Set your brokerage's risk tolerance after considering: (a) the risks you noted in Step 1; and (b) asking yourself the following questions:

- Are you willing to accept regulatory, reputational, legal or financial risks for your brokerage?
- Which risks are you willing to accept for your brokerage after implementing mitigation measures?
- Which risks are you not willing to accept for your brokerage?

Brokerage Risk Tolerance:

☐ High ☐ Medium ☐ Low

Document the rationale for your risk tolerance below:

Keep in mind that the risk tolerance you set does not impact your obligations under the *Proceeds of Crime (Money Laundering) and Terrorist Financing Act* and associated regulations. It may, however, impact what mitigation measures you put in place and which clients you wish to work with.

Step 3: Create Risk-Reduction Measures

Go back to the Cluster/Mitigation Table, in Step 1 paragraph v above, and document how you intend to mitigate the risks you have identified so that it does not exceed the risk tolerance you have indicated in Step 2. See Section 4.2 of CREA's template compliance program for ideas of possible risk mitigation measures you could implement. Note that FINTRAC expects that your brokerage implement enhanced measures for situations where the risk of money laundering/terrorist financing is high. Therefore, if you have labelled any section of your business as high risk, you will need to specifically address how you are mitigating theses high risks elements of your business.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®

Brokerage Risk Assessment

Step 4: Evaluate Your Residual Risk[7]

No matter how robust the risk mitigation measures you implement in Step 3 are, your brokerage will always have exposure to some residual money laundering and terrorist financing risk. Document what you understand are your remaining risks in the spaces below:

Risk Category	Risks (insert)
Tolerated risks[8]	1 2 3 4 5 6 7 8 9 10
Mitigated risks[9]	1 2 3 4 5 6 7 8 9 10

Step 5: Implement Your Risk Based Assessment

You must implement this risk-based assessment as part of your brokerage day-to-day activities.
You must also document the risk assessment as part of your brokerage's compliance program. Document this in Section 4.1 of CREA's template compliance program, if used.

Step 6: Review your Risk Based Assessment

You must institute and document a periodic review (minimum of every two years) of your risk assessment. See Section 6 of CREA's template compliance program for more information.

[7] Inherent risk is the risk of an event or circumstance that exists before you implement controls or mitigation measures. In contrast, residual risk is the level of risk that remains after you have implemented controls or mitigation measures.

[8] These are risks that you accept because there is no benefit in trying to reduce them. Tolerated risks may increase over time. For example, when you introduce a new product or a new threat appears.

[9] These are risks that you have reduced but not eliminated.

REALTOR®

This document has been prepared by The Canadian Real Estate Association ("CREA") to assist members in complying with requirements of *Canada's Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations*. The REALTOR® trademark is controlled by CREA. © 2021-2025. v.1.0

CREA WEBForms®